

Investment Education Workbook

Your Guide to Building Long-Term Wealth

IMPORTANT DISCLAIMER

This workbook provides educational content only and is not personalized investment advice.

All investing involves risk, including potential loss of principal. There is no guarantee that any investment strategy will be successful. Past performance does not indicate future results.

The information provided is for educational purposes only and should not be considered as financial, investment, legal, or tax advice. Individual results may vary based on personal circumstances, market conditions, and investment decisions.

Before making any investment decisions, consult with a qualified financial advisor who can assess your specific situation, goals, and risk tolerance.

This workbook does not constitute an offer to sell or a solicitation to buy any securities. All statistics and historical data presented are based on publicly available information and are subject to change.

This workbook is designed to help you understand fundamental investment concepts and develop a personal action plan for building wealth over time. Use it as a learning tool and reference guide on your investment education journey.

Understanding the Fundamentals

Building wealth through investing requires understanding a few core concepts. These ideas form the foundation of successful long-term investing strategies.



Compound Interest

Compound interest is when your investment earnings generate their own earnings. Instead of just earning returns on your original investment, you earn returns on your returns. This creates exponential growth over time.

Example: \$1,000 invested at 10% annual returns becomes \$6,727 in 20 years without adding any additional money. Your money grows faster each year because gains build on previous gains.



Index Funds & ETFs

An index fund is an investment that automatically tracks a specific group of stocks. An ETF (Exchange-Traded Fund) works similarly but trades like a stock. These provide instant diversification with low fees.

Example: The S&P 500 includes the top 500 U.S. companies. When you buy one share of an S&P 500 ETF (like VOO, SPY, or IVV), you own tiny pieces of all 500 companies—Apple, Microsoft, Tesla, and hundreds more.



Inflation

Inflation is the gradual increase in prices over time, which reduces the purchasing power of your money. The Federal Reserve targets 2-3% inflation annually. This means cash sitting in a bank account loses value every year.

Example: A burrito that cost \$8.50 six years ago now costs \$12. If you kept \$50,000 in cash during that time, you lost 29% of your purchasing power—that's 1,716 fewer burritos.

you can buy!

Dollar-Cost Averaging

Dollar-cost averaging means investing a fixed amount of money at regular intervals (weekly, monthly, etc.) regardless of market conditions. This removes emotion from investing and helps you buy more shares when prices are low and fewer when prices are high.

Example: Investing \$500 every month automatically. When the market dips, your \$500 buys more shares. When it rises, you buy fewer shares. Over time, this averages out your purchase price.

Key Statistics to Remember

8-10%

Average S&P 500 annual returns over 80
years

0%

Negative returns for S&P 500 over any
20+ year period

54%

Fewer gains if you miss the 10 best
market days in 30 years

85%

Active traders who underperform index
funds

Remember: These historical statistics are for educational purposes. Past performance does

not guarantee future results, and all investments carry risk of loss.

Interactive Exercises

These exercises will help you apply the concepts you've learned and start thinking about your own investment journey.

Exercise 1: Calculate Your Compound Growth Potential

Use these questions to estimate how your money could grow over time. Remember, these are educational examples only, not predictions or guarantees.

1. How much could you realistically invest each month?

2. Using historical S&P 500 average returns of 10% annually (not guaranteed for the future), calculate potential growth:

Formula reference:

- \$100/month for 30 years at 10% = approximately \$227,000
- \$500/month for 35 years at 10% = approximately \$1,800,000
- Your monthly amount $\times$ 30 years at 10% = ?

My estimated potential (educational example only):

3. How much would inflation cost you if you kept that money in cash instead?

Hint: \$100,000 in cash loses approximately \$2,500/year to 3% inflation

Exercise 2: Assess Your Risk Profile

1. What is your current age?

2. How many years until you plan to use this money (time horizon)?

3. Based on the age guidelines, what asset allocation might make sense for you?

Age Range	Risk Profile	Suggested Allocation
25-40	Aggressive	90-100% stocks, 0-10% bonds
40-55	Moderate	70-80% stocks, 20-30% bonds
55+	Conservative	50-60% stocks, 40-50% bonds

My target allocation (example - discuss with a financial advisor):

4. How would you feel if your investment dropped 20% in one month?

- ☐ I'd panic and want to sell
- ☐ I'd feel uncomfortable but stay invested
- ☐ I'd see it as a buying opportunity

Exercise 3: Personal Investment Goals

What are you investing FOR? (Be specific)

What would financial freedom look like for you in 20-30 years?

Your 7-Step Action Plan

Follow these steps to begin your investment journey. Each step is designed to be simple and actionable.

☐ Step 1: Understand WHY You're Investing

You're investing to protect your money from inflation (which steals 2-3% of your purchasing power yearly) and to harness compound interest for exponential growth. Your mindset should be long-term: 10, 20, 30+ years.

☐ Step 2: Open the Right Investment Account

Choose between a retirement account (401k, IRA—tax advantages, but locked until retirement) or a brokerage account (flexible, no age restrictions). Use platforms like Fidelity, Charles Schwab, or Robinhood. Setup takes about 10 minutes.

☐ Step 3: Choose Your Investment—Index Funds

Don't pick individual stocks when starting. Choose an S&P 500 ETF: VOO (Vanguard), SPY (SPDR), or IVV (iShares). These track the top 500 U.S. companies with fees as low as 0.03% annually.

☐ Step 4: Determine How Much to Invest

Only invest money you won't need for 5-10+ years. Start with whatever you can afford consistently—even \$50/month is valuable. Consistency matters more than amount. (Example: \$500/month for 35 years could potentially grow to \$1.8M at historical 10% returns, though future results may vary.)

☐ Step 5: Use Dollar-Cost Averaging

Invest a fixed amount at regular intervals (weekly, bi-weekly, monthly). Set

it on autopilot through your broker's automatic investment feature. This removes emotion and smooths out market volatility.

☐ **Step 6: Never Panic Sell**

Every market crash in history has recovered and gone on to new highs. The 2008 crash (-57%) recovered by 2013. The 2020 COVID crash (-34%) recovered in 5 months. Over any 20-year period, the S&P 500 has had zero negative returns. Stay invested during downturns.

☐ **Step 7: Keep Learning**

Investing is a skill that improves with education. Read books, watch educational content from reputable sources, and avoid get-rich-quick schemes. The more you understand, the better decisions you'll make.

What to Avoid (Common Mistakes)

Mistake	Why It Fails
✗ Trying to time the market	Missing just 10 best days over 30 years = 54% fewer gains. You can't predict the best days, so stay invested.
✗ Panic selling during crashes	Worst days are usually followed by best days. Selling locks in permanent losses and misses the recovery.
✗ Chasing hot stocks/trends	95% of people who chase meme stocks and trends lose money. Stick to boring, reliable index funds.
✗ Paying high fees	A 1% fee vs. 0.03% fee can cost you over \$200,000 in lost returns over 30 years. Fees compound against you.
✗ Having no plan	Without rules for when to buy, sell, or rebalance, you'll make emotional decisions that lose money.

The Selling Rulebook

Most investors focus only on buying. But knowing when and how to sell is what separates successful long-term investors from everyone else. Here are the five core rules:

Rule #1: Take Partial Profits at Predetermined Levels

Never sell everything at once. Instead, scale out as you make gains. Example framework:

- Position up 20%? Take 25% off the table
- Position up 50%? Take another 25% off
- Position up 100%? Take another 25% off
- Let the final 25% ride as "house money"

This way, you lock in gains along the way and never feel regret whether it keeps rising or falls.

Rule #2: Never Let a Winner Turn Into a Loser

If you bought at \$100, it went to \$150, and now it's back to \$105—SELL. Don't let profits evaporate. Protect your winners. If a position is up 20%+ and then drops back below 10% gain, consider taking it off. Don't watch your gains disappear.

Rule #3: Rebalance Quarterly or Annually

Over time, some investments grow faster than others, changing your risk profile. If you started with 90% stocks and 10% bonds, but growth pushed you to 95% stocks and 5% bonds, rebalance back to your target. This forces you to "sell high and buy low" automatically.

Rule #4: Have Stop-Losses for Individual Positions

If you buy individual stocks, always set a stop-loss to limit losses to 10-15% maximum. If you buy at \$100, sell if it drops to \$85-\$90. This prevents catastrophic losses. **Note:** For index funds held long-term, you don't need stop-losses—the whole point is riding out volatility.

Rule #5: Ignore the Noise, Trust the Process

Financial media constantly screams about crashes, bubbles, and recessions. Ignore it. Stick to your plan. If your plan is to invest \$500/month into VOO for 30 years, do exactly that. Only adjust if your personal situation changes (job loss, need money sooner, risk tolerance shifts). Otherwise, trust the process and let time work.

Important: These are educational guidelines for understanding how professional investors think about exits and portfolio management. Always consult with a qualified financial advisor to develop strategies appropriate for your specific situation before making any investment decisions.

Your Personal Selling Rules Worksheet

Based on what you've learned, what rules will you commit to for your portfolio?

My profit-taking strategy:

My rebalancing schedule:

My commitment during market downturns:

My Personal Action Plan

Use this worksheet to create your personalized investment action plan. Be specific and realistic.

My Investment Goals

Primary goal for investing:

Time horizon (years until I'll need this money):

Monthly amount I can realistically invest:

My Action Steps

Account I will open (401k, IRA, Brokerage):

Platform I will use (Fidelity, Schwab, Robinhood, etc.):

Index fund I will invest in (VOO, SPY, IVV, VTI):

Day of month I'll make automatic investments:

Date I'll complete account setup:

My Commitment Statement

I commit to the following investment principles:

- ☐ I will invest consistently every month, regardless of market conditions
- ☐ I will NOT panic sell during market downturns
- ☐ I will stay invested for the long term (10+ years minimum)
- ☐ I will keep my fees low by using index funds
- ☐ I will continue educating myself about investing
- ☐ I will consult with a qualified financial advisor before making major decisions

Signature: _____

Date: _____

Additional Notes & Reflections

Ready to Take Your Investment Education Further?

You've completed this workbook and learned the fundamental principles of long-term wealth building. Now it's time to take action and deepen your knowledge.

Enhance Your Investment Education

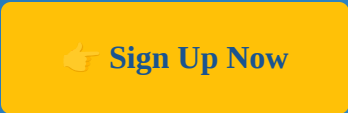
You're tired of watching your money sit idle while inflation eats away at your purchasing power, aren't you? While others struggle with investment decisions, educated investors are building their knowledge with research-backed strategies. Felix & Friends provides educational resources and research to help inform your investment decisions.

With the Intelligence Bundle, you'll get:

-  2 Monthly Stock Research Reports - Analyzed using our fundamental criteria
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Remember, all investing involves risk including potential loss of principal, and there's no guarantee any investment strategy will be successful. Past performance doesn't guarantee future results and all investments carry risk of loss.

Ready to enhance your investment education and research capabilities? Get access to the Intelligence Bundle and start building your investment knowledge.



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Continue learning, stay consistent, and build the future you deserve.